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Strategic Order Flow Trading



Module 1 Strategic Order Flow

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I want to first express my sincere appreciation and thank you for joining me in this Strategic Order Flow course. I'm thrilled you've taken this step to advance your trading skills and am excited to help you master the proven concepts that have transformed my own success and consistency as a trader. The methods you'll learn surrounding order flow analysis are powerful, and I'm grateful for the opportunity to share this knowledge with you. Throughout our journey here, my goal is not only to provide valuable education, but also inspire the same passion for markets and order flow that has made trading such an incredible pursuit for me. With an open mind and focus on applying these strategies, I'm confident you will gain new perspective and edge. So let's get started!

One of the key components in understanding the dynamics of the financial markets is the analysis of order flow, particularly the activities of the so-called "smart money" – institutional investors with vast resources and information at their disposal.

Identifying institutional buying and selling activity is crucial in making informed trading decisions. Institutional investors, such as pension funds, mutual funds, and hedge funds, often possess a significant amount of capital, which allows them to move markets when they enter or exit positions. Their actions have a substantial impact on prices, and detecting their order flow can offer a competitive advantage to individual retail traders.

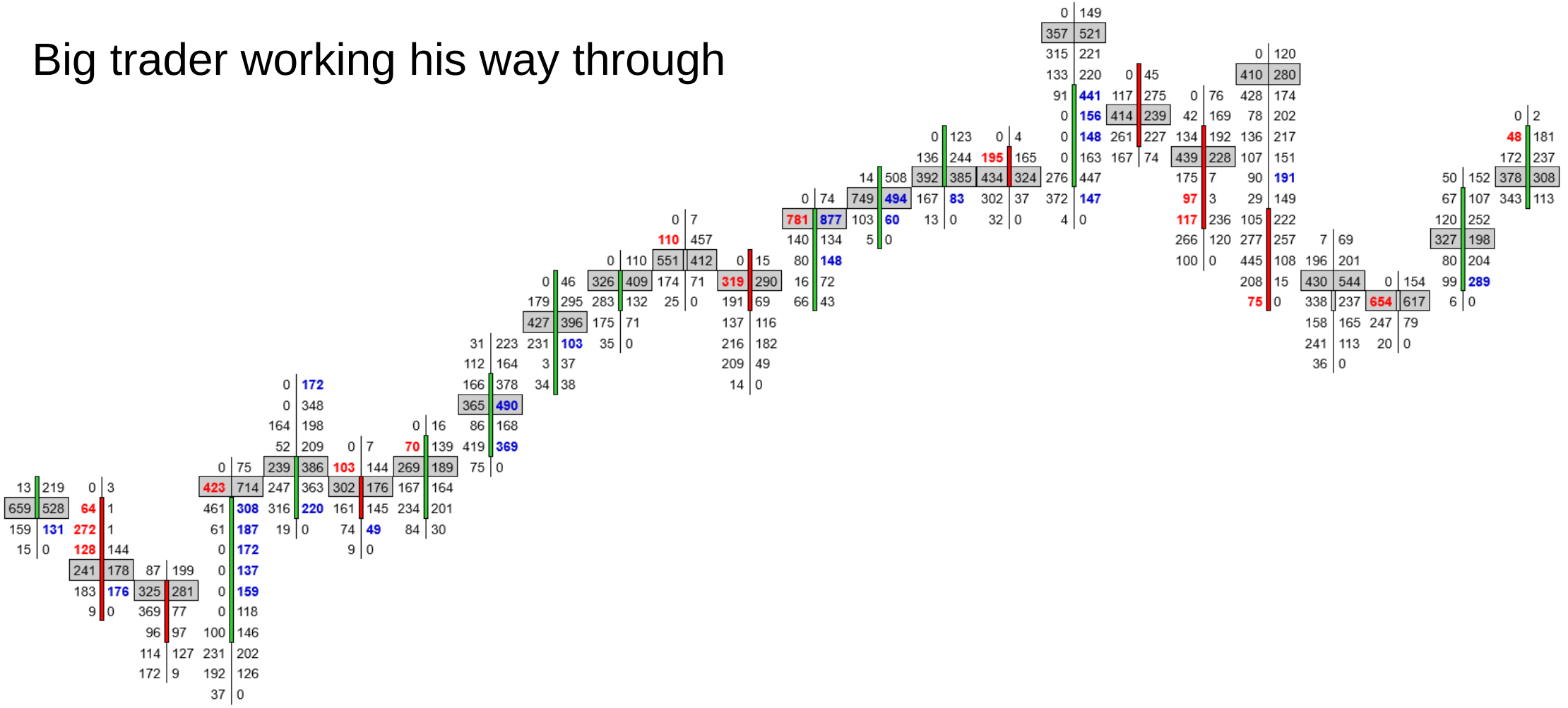
When executing large trades, it is important to consider the potential impact costs that may arise. Placing a large order can disrupt normal trading activity in a market, causing the price to move against the trader. This price movement due to the trade's impact is called market impact. The larger the trade size, the greater the market impact as more counterparties need to be found to take the other side.

Impact or execution costs refer to the implicit costs incurred from the adverse price moves that occur from executing a large order. These costs arise from informational asymmetries in the market. Other traders may see the large order being filled and alter their trading strategies, such as widening their spreads or changing their price limits. This can exacerbate price swings. The urgency to complete the trade also means accepting wider bid-ask spreads, or a market simply moving as other traders try to front run the big order and thus higher impact costs.

Order Flows Trader (ES 09-23 (1 Minute))
7/6/2023 10:54:00 - 7/6/2023 11:17:00

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Big trader working his way through



Delta	2	-394	-373	839	859	-128	-85	538	41	-97	87	-365	265	191	127	-433	1065	-99	-339	-302	-77	-71	453	-100
Max. Delta	9	0	16	956	976	23	173	680	181	45	185	1	431	346	127	0	1228	113	307	904	143	8	485	121
Min. Delta	7	-466	-479	-243	-217	-210	-94	-22	-118	-136	-20	-537	-4	-36	-115	-457	-196	-176	-401	-310	-446	-145	-2	-258
Cum. Delta	k	-35.63k	-36k	-35.16k	-34.3k	-34.43k	-34.52k	-33.98k	-33.94k	-34.04k	-33.95k	-34.31k	-34.05k	-33.86k	-33.73k	-34.16k	-33.1k	-33.2k	-33.54k	-33.84k	-33.92k	-33.99k	-33.53k	-33.63k
Delta / Volume	%	-28.14%	-19.10%	21.80%	29.29%	-10.94%	-5.44%	17.66%	2.29%	-6.29%	4.81%	-20.20%	10.90%	9.88%	8.23%	-29.00%	25.59%	-5.44%	-14.12%	-6.75%	-2.82%	-4.01%	23.22%	-5.61%
Volume	4	1400	1953	3849	2933	1170	1563	3046	1789	1541	1807	1807	2431	1933	1543	1493	4161	1819	2401	4474	2735	1771	1951	1782

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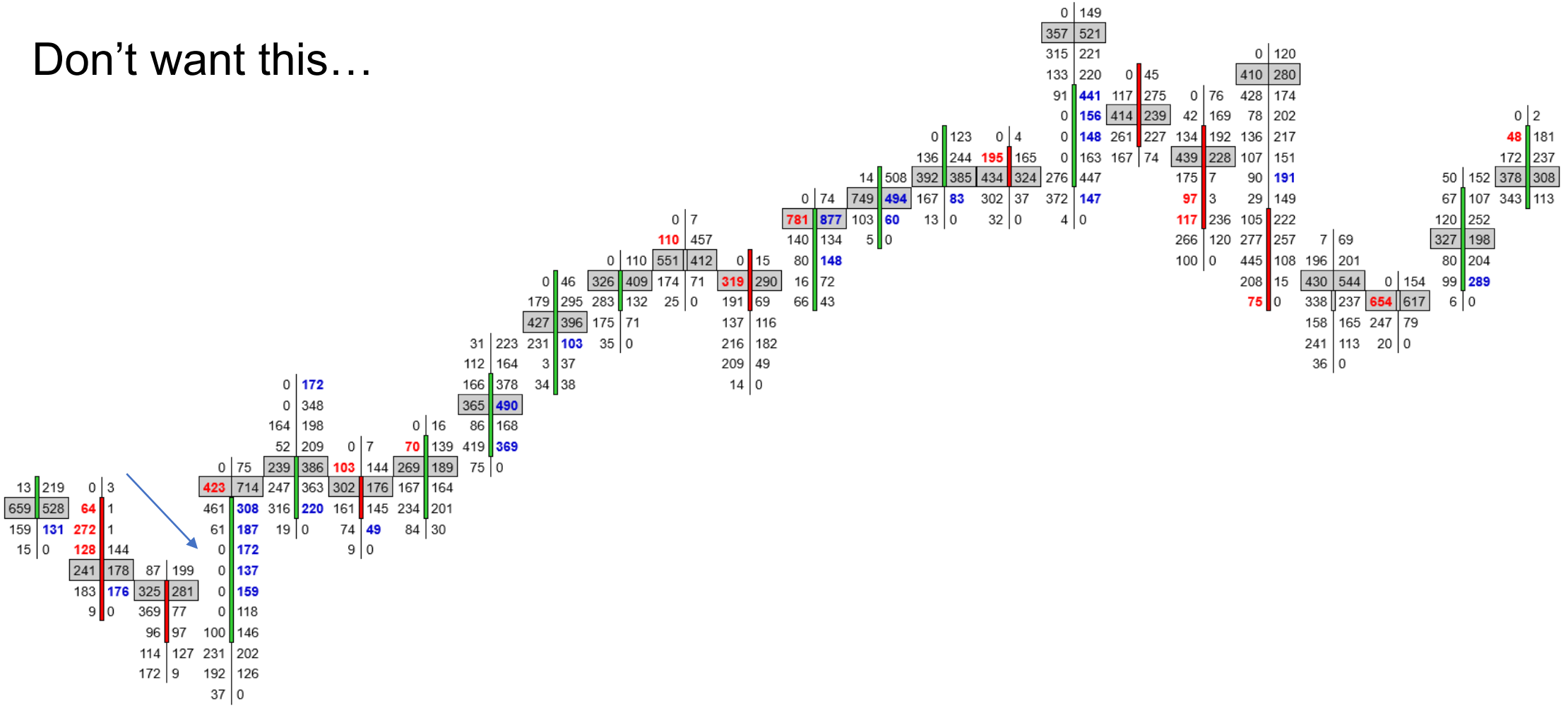
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To minimize impact costs, traders usually break up a large order into smaller chunks and use algorithms to execute the slices over time. The algorithms aim to detect periods of lower liquidity risk and trade more aggressively then. Trading patiently over an extended period allows absorbing the order flow in a way that reduces artificially moving the price. Executing through execution algos also avoids signaling a large order to the entire market. Considering impact costs and mitigating their effects through smart order execution helps large traders trade efficiently while maintaining market integrity.

Order Flows Trader (ES 09-23 (1 Minute))
7/6/2023 10:54:00 - 7/6/2023 11:17:00

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Don’t want this…



Delta	2	-394	-373	839	859	-128	-85	538	41	-97	87	-365	265	191	127	-433	1065	-99	-339	-302	-77	-71	453	-100
Max. Delta	9	0	16	956	976	23	173	680	181	45	185	1	431	346	127	0	1228	113	307	904	143	8	485	121
Min. Delta	7	-466	-479	-243	-217	-210	-94	-22	-118	-136	-20	-537	-4	-36	-115	-457	-196	-176	-401	-310	-446	-145	-2	-258
Cum. Delta	k	-35.63k	-36k	-35.16k	-34.3k	-34.43k	-34.52k	-33.98k	-33.94k	-34.04k	-33.95k	-34.31k	-34.05k	-33.86k	-33.73k	-34.16k	-33.1k	-33.2k	-33.54k	-33.84k	-33.92k	-33.99k	-33.53k	-33.63k
Delta / Volume	%	-28.14%	-19.10%	21.80%	29.29%	-10.94%	-5.44%	17.66%	2.29%	-6.29%	4.81%	-20.20%	10.90%	9.88%	8.23%	-29.00%	25.59%	-5.44%	-14.12%	-6.75%	-2.82%	-4.01%	23.22%	-5.61%
Volume	4	1400	1953	3849	2933	1170	1563	3046	1789	1541	1807	1807	2431	1933	1543	1493	4161	1819	2401	4474	2735	1771	1951	1782

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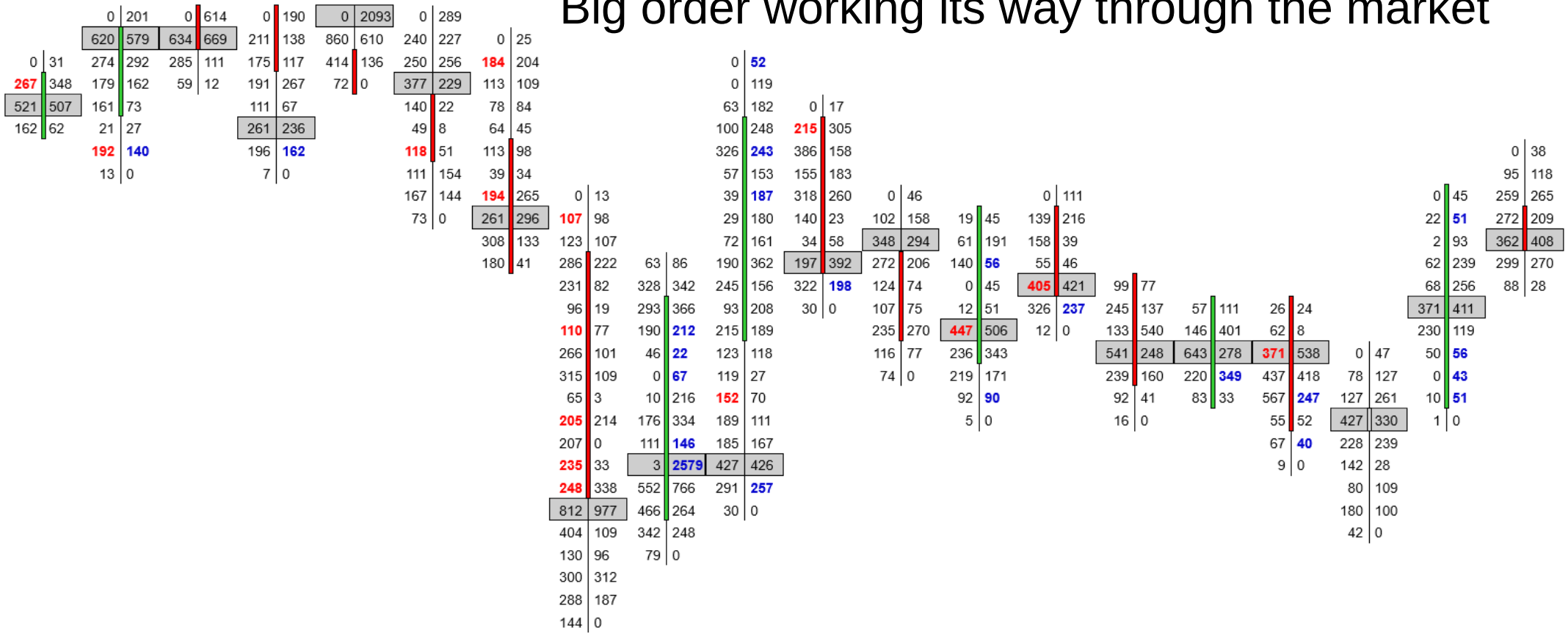
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Order Flows Trader (ES 09-23 (1 Minute))
7/10/2023 09:57:00 - 7/10/2023 10:16:00

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Big order working its way through the market



Delta	-2	14	428	25	1493	-145	-200	-1475	2989	671	-203	-178	267	-25	-162	23	-267	-63	548	-39
Max. Delta	129	149	537	141	1788	186	179	9	3131	693	0	35	288	133	112	183	35	143	548	223
Min. Delta	-34	-158	0	-212	-104	-245	-211	-1875	-38	-872	-426	-267	-98	-87	-200	-121	-363	-209	0	-107
Cum. Delta	5902	5916	6344	6369	7862	7717	7517	6042	9031	9702	9499	9321	9588	9563	9401	9424	9157	9094	9642	9603
Delta / Volume	-0.11%	0.48%	17.95%	1.07%	35.68%	-4.99%	-6.97%	-19.23%	35.98%	10.23%	-5.99%	-6.90%	9.78%	-1.15%	-6.31%	0.99%	-9.14%	-2.48%	25.14%	-1.44%
Volume	1898	2934	2384	2329	4185	2905	2868	7669	8307	6561	3391	2578	2729	2165	2568	2321	2921	2545	2180	2711

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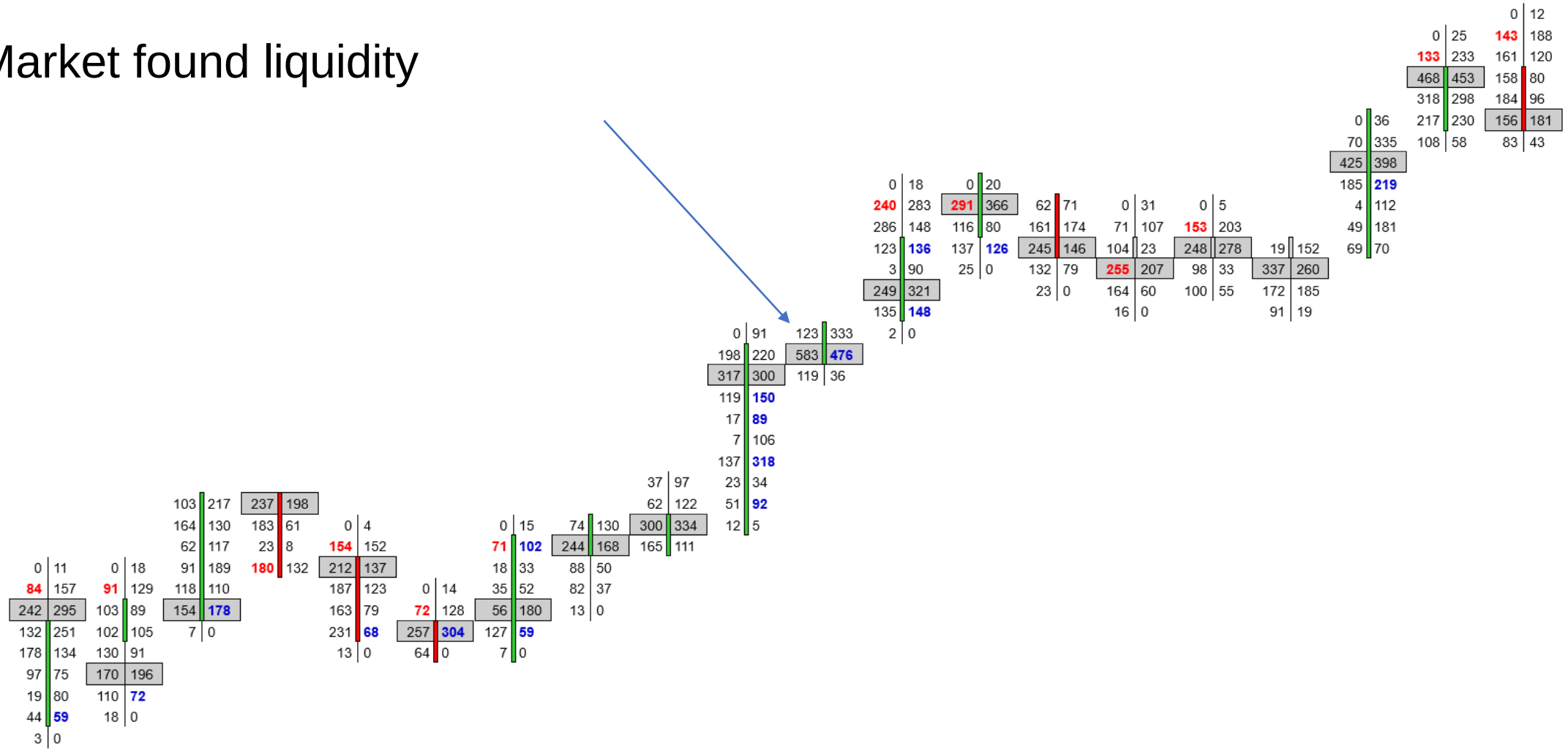
Order flow analysis involves closely monitoring the volume and direction of trades executed in the market. By studying the interactions between buyers and sellers, we can identify patterns that indicate the presence of smart money.

These patterns may include large block trades, icebergs, aggressive buying or selling, or significant changes in trading volume. By recognizing these patterns, traders can align their own positions with the smart money and potentially ride along with them.

Order Flows Trader (ES 09-23 (1 Minute))
7/10/2023 13:06:00 - 7/10/2023 13:25:00

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Market found liquidity



Delta	263	-24	242	-224	-397	53	127	-116	100	524	20	106	23	-153	-182	-25	-3	549	53	-165
Max. Delta	343	63	393	37	13	112	142	10	186	577	64	395	108	11	48	127	58	549	195	102
Min. Delta	-21	-141	-7	-244	-400	-63	-29	-178	-35	-8	-78	0	-70	-209	-211	-88	-223	-25	-52	-233
Cum. Delta	5002	4978	5220	4996	4599	4652	4779	4663	4763	5287	5307	5413	5436	5283	5101	5076	5073	5622	5675	5510
Delta / Volume	14.13%	-1.69%	14.76%	-21.92%	-26.07%	6.32%	16.82%	-13.09%	8.14%	22.92%	1.20%	4.86%	1.98%	-14.00%	-17.53%	-2.13%	-0.24%	25.50%	2.09%	-10.28%
Volume	1861	1424	1640	1022	1523	839	755	886	1228	2286	1670	2182	1161	1093	1038	1173	1235	2153	2541	1605

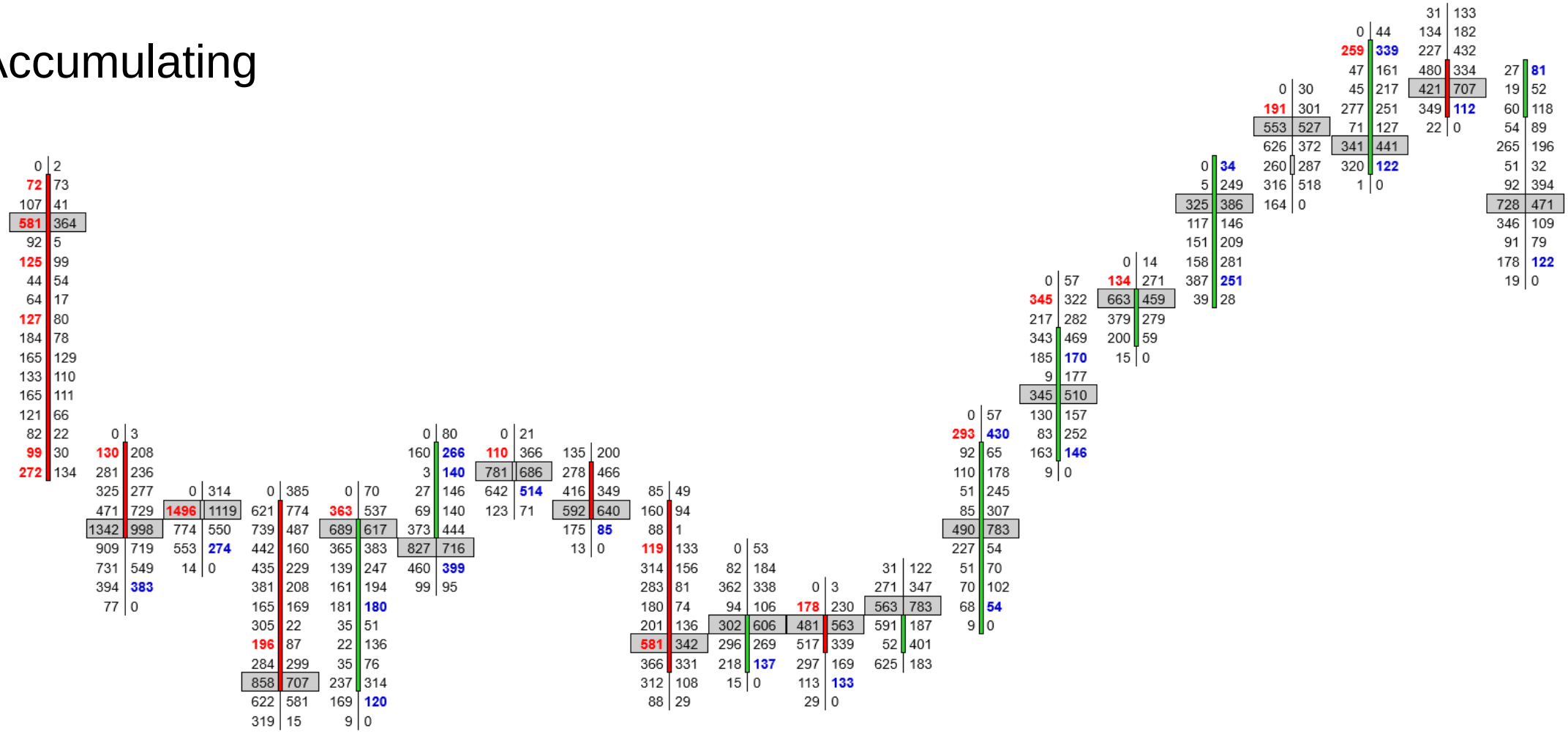
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The smart money's order flow can reveal crucial information about market sentiment, liquidity, and potential price reversals. For instance, when a large trader starts accumulating, it suggests that they have an optimistic outlook on the underlying asset. Conversely, if they begin offloading their positions, distributing, it may indicate a bearish sentiment.

Order Flows Trader (ES 09-23 (1 Minute))
7/11/2023 09:05:00 - 7/11/2023 09:24:00

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Accumulating



Delta	-1018	-558	-580	-1244	520	408	2	131	-1243	324	-178	-110	799	713	-309	402	-75	341	236	-187
Max. Delta	4	67	28	369	675	459	53	208	10	555	89	37	883	918	0	502	293	373	510	0
Min. Delta	-1050	-949	-644	-1437	-150	-236	-167	-176	-1333	-61	-199	-354	-20	-55	-346	-17	-250	-88	-165	-524
Cum. Delta	-1917	-2475	-3055	-4299	-3779	-3371	-3369	-3238	-4481	-4157	-4335	-4445	-3646	-2933	-3242	-2840	-2915	-2574	-2338	-2525
Delta / Volume	-26.46%	-6.37%	-11.39%	-13.11%	9.76%	9.18%	0.06%	3.91%	-28.83%	10.58%	-5.83%	-2.65%	20.53%	16.31%	-12.49%	14.53%	-1.81%	11.13%	6.62%	-5.09%
Volume	3848	8762	5094	9490	5330	4444	3314	3349	4311	3062	3052	4156	3891	4371	2473	2766	4145	3063	3564	3673

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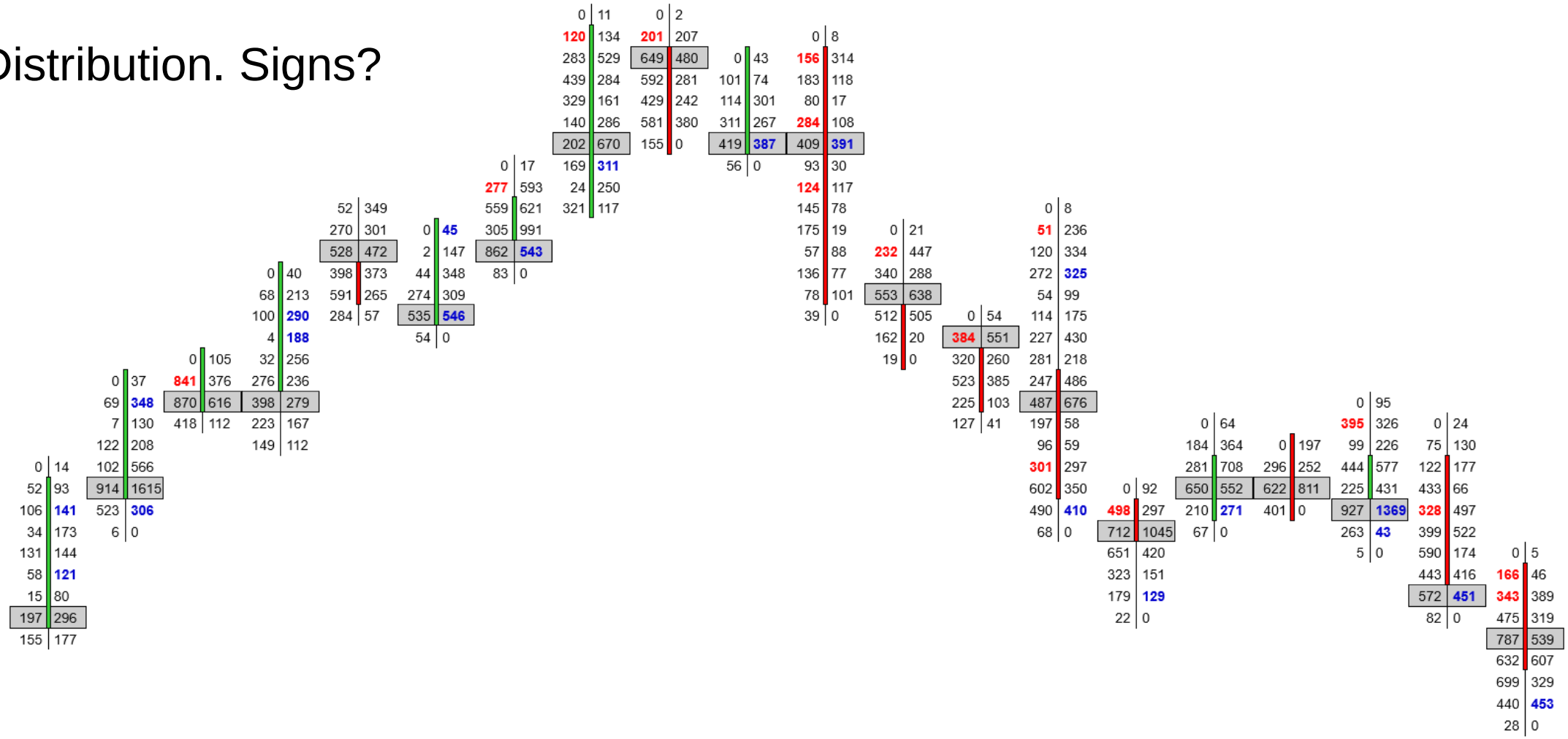
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09:05 09:10 09:15 09:20

Order Flows Trader (ES 09-23 (1 Minute))
7/13/2023 14:38:00 - 7/13/2023 14:57:00

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Distribution. Signs?



Delta	491	1467	-920	531	-306	486	679	726	-1015	71	-493	101	-185	554	-251	567	-59	709	-587	-883
Max. Delta	524	1467	0	541	562	486	1018	1005	0	129	143	476	76	1042	0	616	154	985	189	7
Min. Delta	-88	-33	-924	-351	-348	-59	-8	-162	-1056	-86	-559	-12	-419	-145	-575	-16	-117	-237	-751	-1262
Cum. Delta	14.29k	15.75k	14.83k	15.37k	15.06k	15.55k	16.22k	16.95k	15.94k	16.01k	15.51k	15.61k	15.43k	15.98k	15.73k	16.3k	16.24k	16.95k	16.36k	15.48k
Delta / Volume	24.71%	29.62%	-27.56%	17.52%	-7.77%	21.09%	14.00%	15.19%	-24.17%	3.42%	-14.39%	2.70%	-6.22%	7.13%	-5.55%	16.92%	-2.29%	13.07%	-10.67%	-14.11%
Volume	1987	4953	3338	3031	3940	2304	4851	4780	4199	2073	3425	3737	2973	7768	4519	3351	2579	5425	5501	6257

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14:40 14:45 14:50 14:55

The 'big money' refers to large institutional traders like mutual funds, pension funds, hedge funds, and banks. These large players trade in very high volumes, so their activity tends to have an outsized impact on market prices.

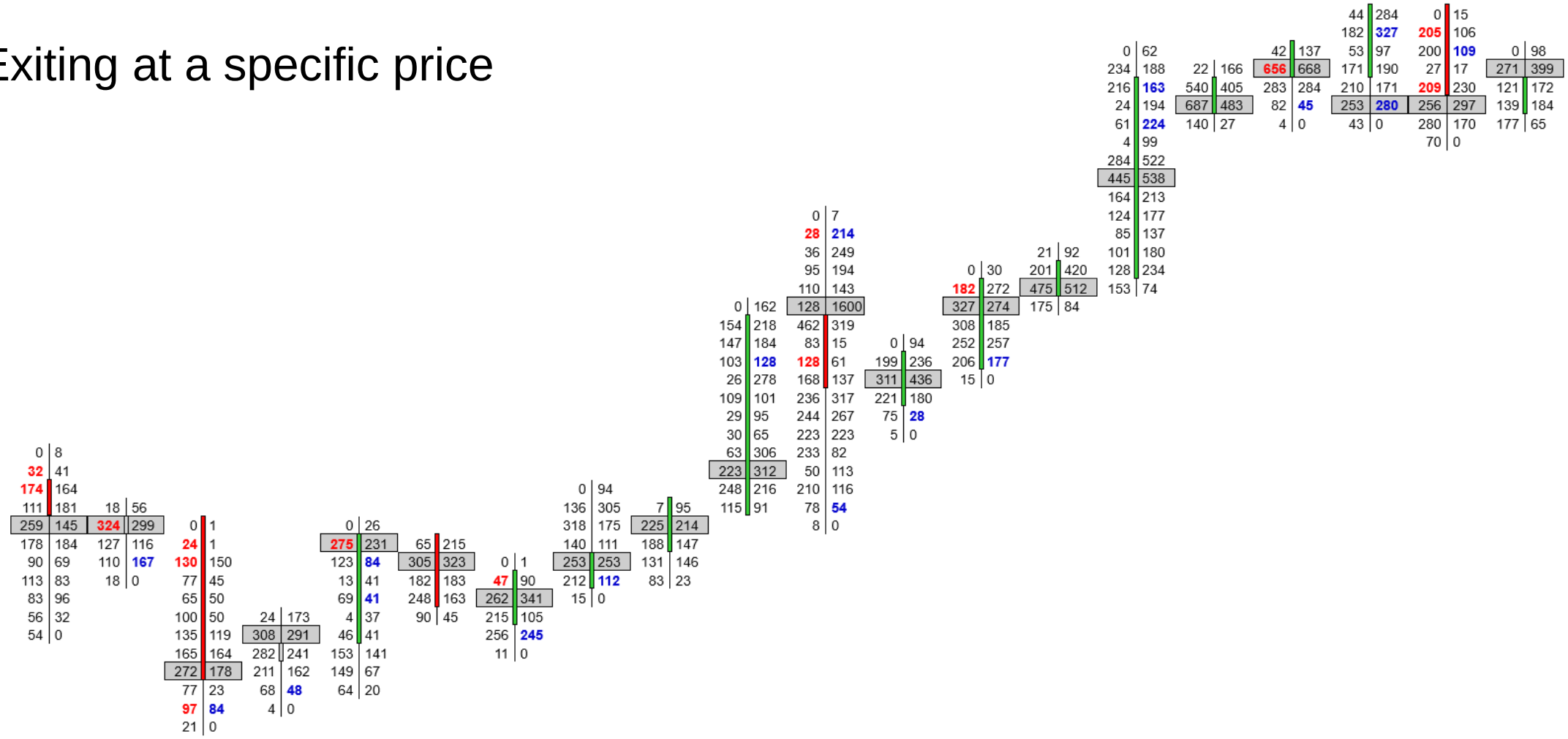
When a large trader or institution enters a new long position, they will typically do so by buying at or near the current market price. Their heavy buying interest provides support for the price at that level.

Conversely, when big money exits or closes out a long position, they sell out of the position, often at a specific price. Their selling activity indicates that price level may act as resistance on any bounce higher.

For example, if a large hedge fund buys 1500 ESU3 contracts at 4560.00, the heavy volume signals that 4560.00 is an area of demand. Until that buying interest is satisfied, 4560.00 will likely act as support.

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Exiting at a specific price

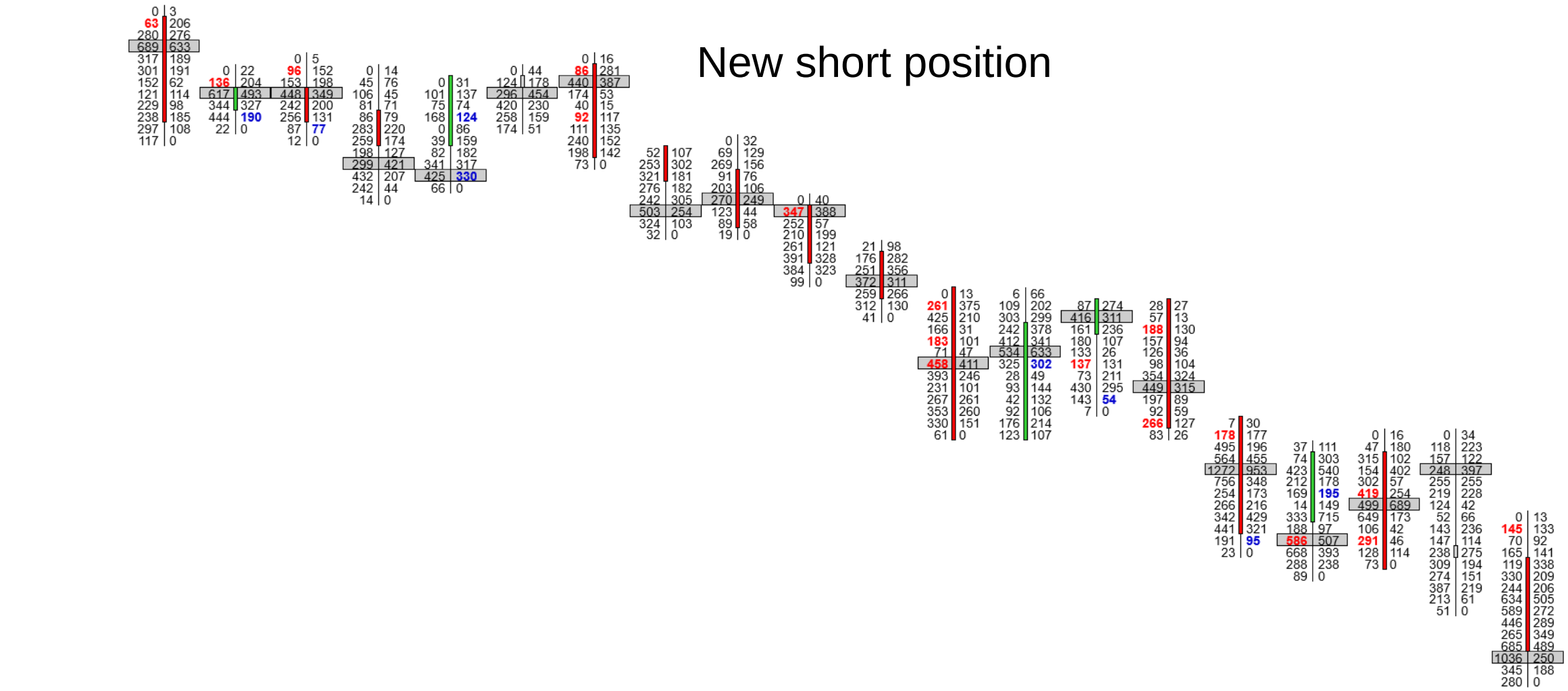


Delta	-147	41	-298	18	-167	39	-9	-24	-9	909	1591	163	-95	236	982	-308	67	393	-303	210
Max. Delta	2	86	6	104	2	179	40	49	97	934	1979	178	245	236	1137	17	197	404	9	239
Min. Delta	-382	-112	-431	-93	-176	-55	-73	-137	-143	-13	-184	-100	-193	-6	-62	-322	-41	-190	-455	-67
Cum. Delta	9456	9497	9199	9217	9050	9089	9080	9056	9047	9956	11.55k	11.71k	11.62k	11.85k	12.83k	12.53k	12.59k	12.99k	12.68k	12.89k
Delta / Volume	-6.83%	3.32%	-14.69%	0.99%	-10.28%	2.14%	-0.57%	-1.13%	-0.71%	26.71%	23.99%	9.13%	-3.82%	11.92%	19.53%	-12.47%	3.04%	17.05%	-13.83%	12.92%
Volume	2153	1235	2028	1812	1625	1819	1573	2124	1259	3403	6631	1785	2485	1980	5028	2470	2201	2305	2191	1626

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Order Flows Trader (ES 09-23 (1 Minute))

7/14/2023 09:19:00 - 7/14/2023 09:38:00



Delta	-739	-327	-182	-567	143	-156	-156	-569	-283	-488	11	-992	488	-122	-751	-1396	345	-908	-318	-1879
Max. Delta	122	11	31	66	234	2	98	0	76	23	95	6	639	107	0	19	355	131	80	133
Min. Delta	-762	-387	-216	-692	-198	-365	-177	-815	-288	-604	-139	-1018	-109	-380	-768	-1552	-592	-908	-474	-1981
Cum. Delta	796	469	287	-280	-137	-293	-449	-1018	-1301	-1789	-1778	-2770	-2282	-2404	-3155	-4551	-4206	-5114	-5432	-7311
Delta / Volume	-15.18%	-11.68%	-7.56%	-16.09%	5.22%	-6.53%	-5.67%	-16.56%	-14.27%	-14.35%	0.38%	-18.35%	8.94%	-3.58%	-21.84%	-17.06%	5.30%	-17.95%	-5.73%	-21.29%
Volume	4869	2799	2406	3523	2737	2388	2752	3437	1983	3400	2875	5406	5458	3412	3439	8182	6507	5058	5552	8827

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4560.00 4559.00 4558.00 4557.00 4556.00 4555.00 4554.00 4553.00 4552.00 4551.00 4550.00 4549.00 4548.00 4547.00 4546.25 4545.00 4544.00 4543.00

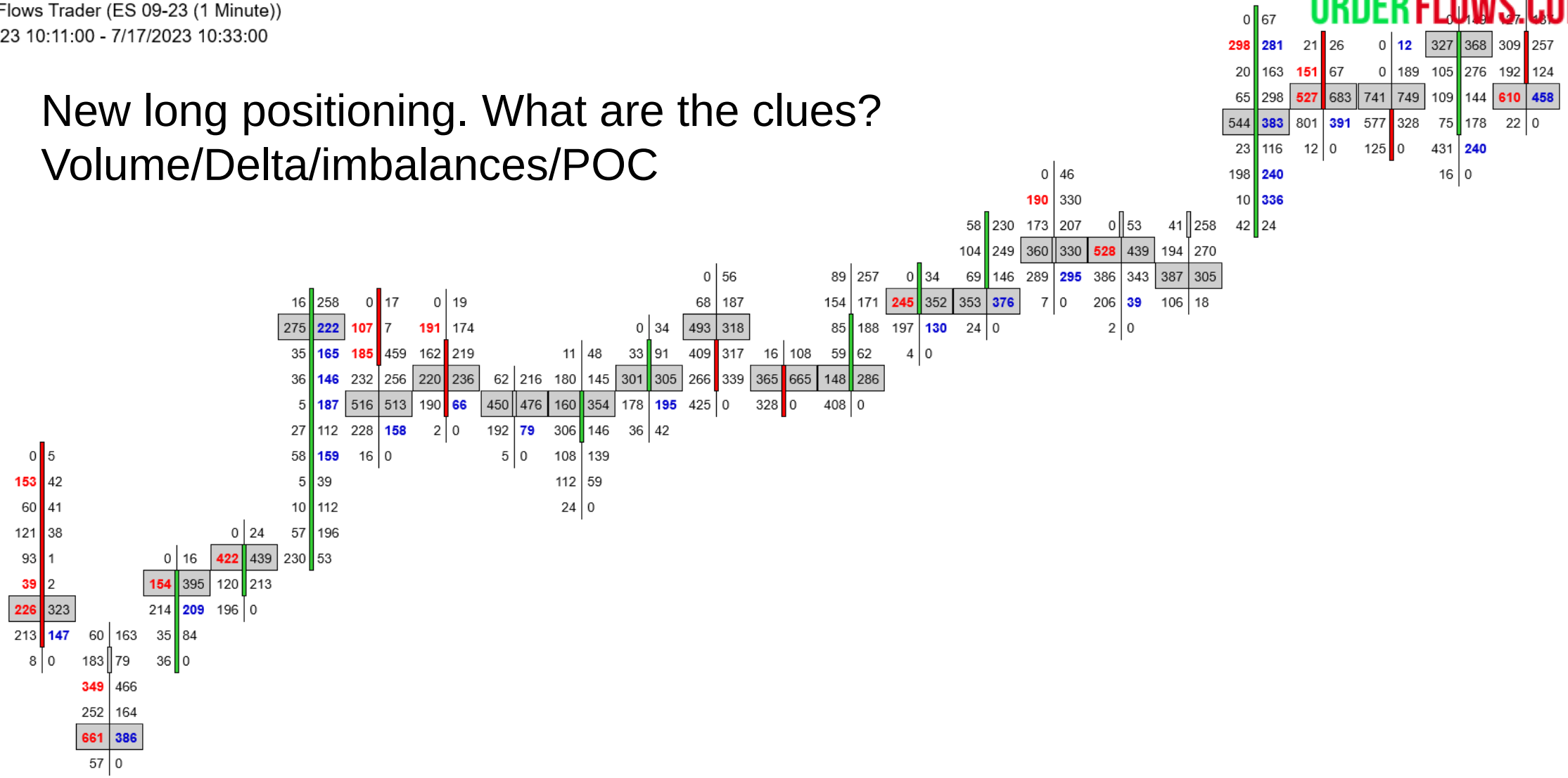
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Knowing where major volume enters or exits the market helps gauge pivotal price levels and the strength of trends. Paying attention to the behavior of 'big money' improves one's ability to trade key market inflection points.

Order Flows Trader (ES 09-23 (1 Minute))
7/17/2023 10:11:00 - 7/17/2023 10:33:00

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New long positioning. What are the clues? Volume/Delta/imbalances/POC



Delta	-304	265	-62	895	126	-51	62	-10	119	-444	64	21	70	393	189	-248	123	708	-345	-165	292	-119
Max. Delta	0	310	1	965	133	46	132	73	188	199	158	152	82	402	208	30	167	795	5	100	346	107
Min. Delta	-422	-32	-186	-71	-299	-180	-114	-222	-44	-453	-23	-402	-15	-39	-113	-437	-82	-12	-434	-165	-141	-163
Cum. Delta	-1980	-1715	-1777	-882	-756	-807	-745	-755	-636	-1080	-1016	-995	-925	-532	-343	-591	-468	240	-105	-270	22	-97
Delta / Volume	-10.78%	23.18%	-4.38%	37.25%	4.68%	-3.45%	4.19%	-0.56%	9.79%	-15.43%	4.32%	1.10%	7.28%	24.43%	8.49%	-12.42%	7.79%	22.78%	-12.88%	-6.06%	12.08%	-4.96%
Volume	2820	1143	1414	2403	2694	1479	1480	1792	1215	2878	1482	1907	962	1609	2227	1996	1579	3108	2679	2721	2418	2401

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Volume or delta spike is something that gets traders caught offsides.

A surge in volume could simply be due to an institutional trader quickly offloading a large position for reasons unrelated to the market's fundamentals.

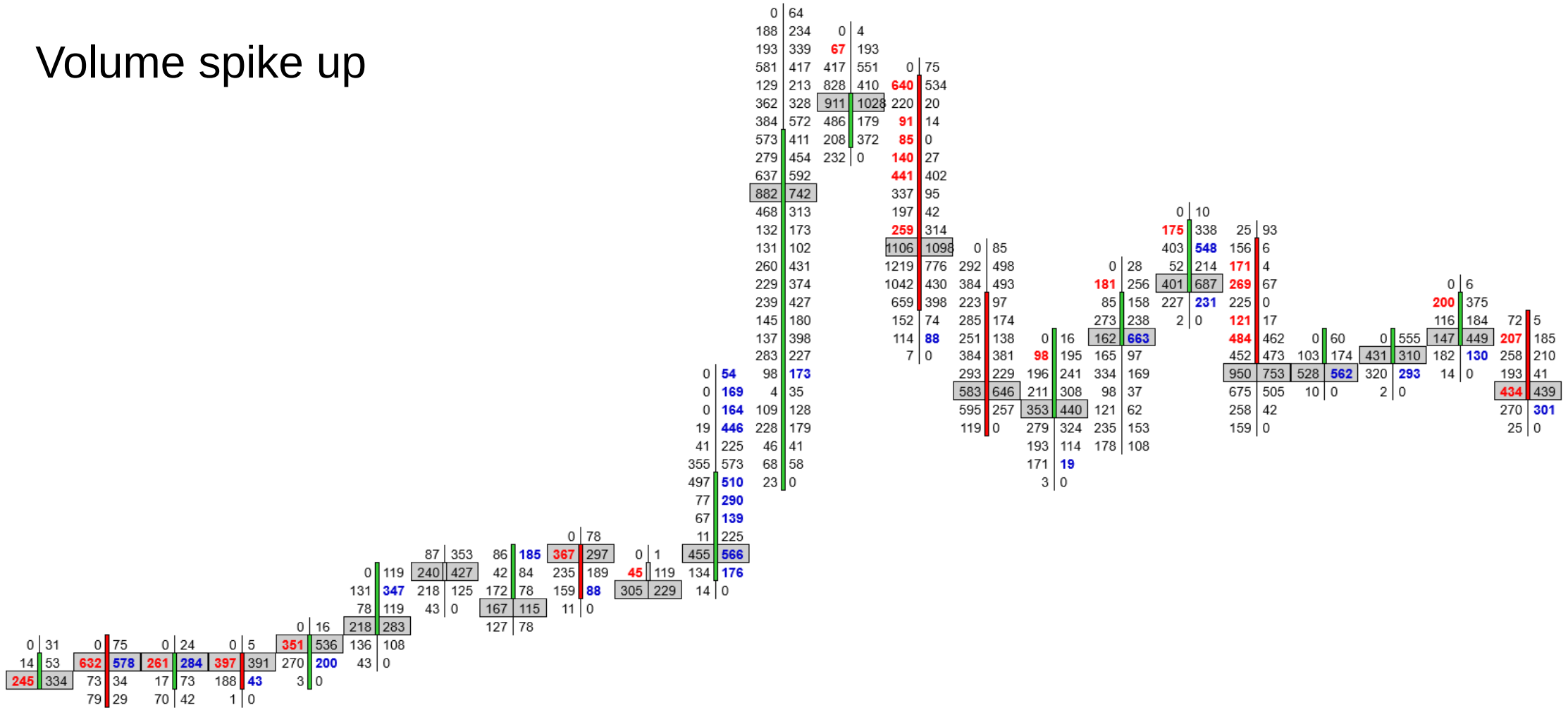
For example, a hedge fund may need to sell a position quickly to meet investor redemptions or portfolio rebalancing needs. The high selling volume is not necessarily indicative of negative news in the market.

If the volume spike reflects forced selling that overwhelms buying interest, the price may experience abnormal one-sided volatility. Jumping in on what looks like momentum could mean buying into artificial weakness or strength.

Order Flows Trader (ES 09-23 (1 Minute))
7/17/2023 14:09:00 - 7/17/2023 14:31:00

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Volume spike up



Delta	-68	75	-147	128	370	317	-54	-120	-1	1867	797	-412	-2322	-411	153	137	768	-1523	155	405	485	-278
Max. Delta	33	114	53	225	370	507	0	78	44	2110	1460	220	76	539	185	361	834	88	155	418	494	0
Min. Delta	-113	-42	-162	-75	-55	0	-321	-140	-35	0	-106	-458	-2372	-414	-250	-251	-149	-1708	-40	-117	-66	-493
Cum. Delta	-342	-267	-414	-286	84	401	347	227	226	2093	2890	2478	156	-255	-102	35	803	-720	-565	-160	325	47
Delta / Volume	-4.53%	9.73%	-14.34%	9.30%	23.39%	21.23%	-4.76%	-8.43%	-0.14%	35.86%	5.53%	-7.00%	-20.93%	-6.41%	4.84%	3.60%	23.36%	-23.92%	10.79%	21.19%	26.90%	-10.53%
Volume	1500	771	1025	1376	1582	1493	1134	1424	699	5207	14.41k	5886	11.1k	6407	3161	3801	3288	6367	1437	1911	1803	2640

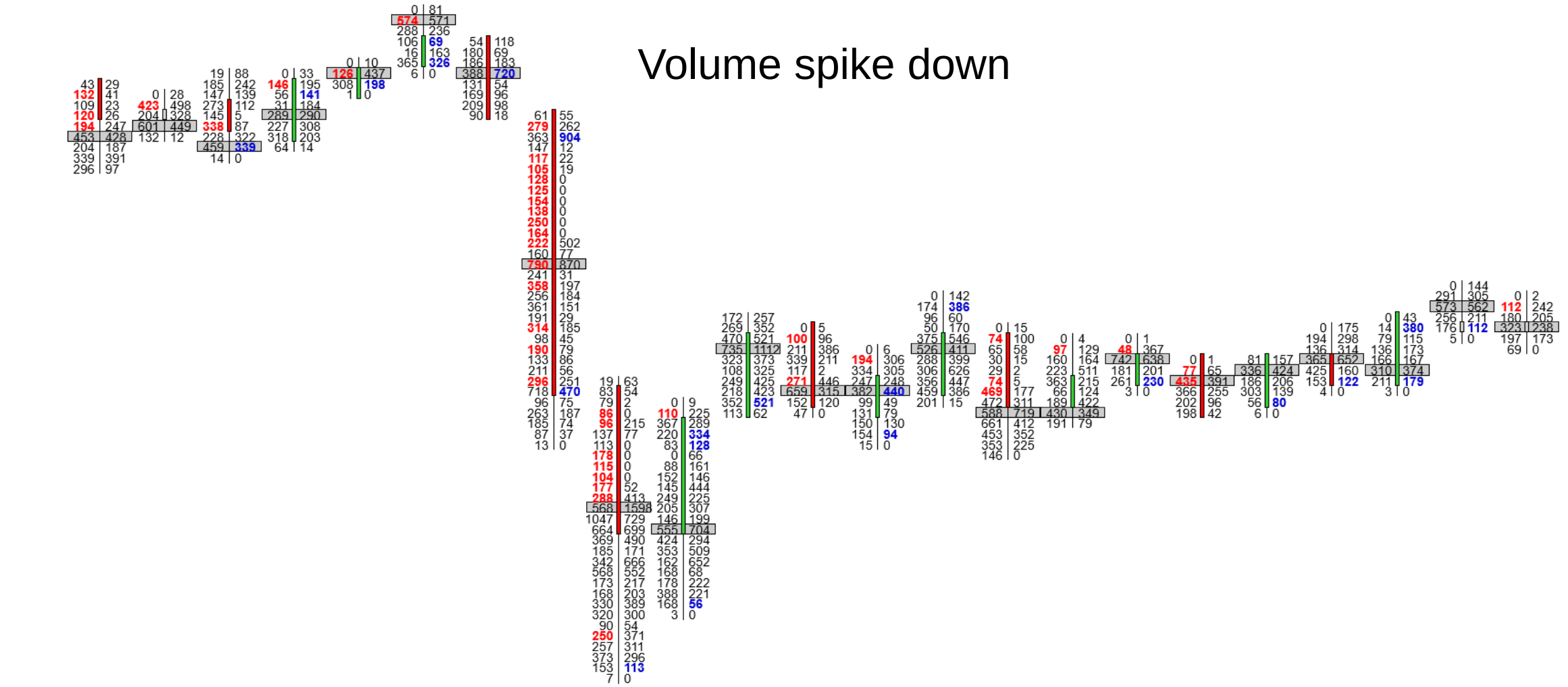
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14:10 14:15 14:20 14:25 14:30

Order Flows Trader (ES 09-23 (1 Minute))
7/19/2023 09:48:00 - 7/19/2023 10:10:00

ORDERFLOWS.COM

Volume spike down



Delta		-45	-474	237	210	91	-51	-2354	696	1095	1362	-315	-49	757	-1023	278	202	-428	38	444	512	33	-21
Max. Delta		65	213	256	223	400	263	402	847	1169	1375	62	161	1154	68	383	265	1	159	485	512	335	0
Min. Delta		-151	-651	-136	-1	0	-239	-2464	-1548	-407	0	-392	-248	-7	-1322	-140	-9	-445	-26	-46	-120	-58	-171
Cum. Delta		4474	4000	4237	4447	4538	4487	2133	2829	3924	5286	4971	4922	5679	4656	4934	5136	4708	4746	5190	5702	5735	5714
Delta / Volume		-1.68%	-15.09%	9.48%	19.44%	3.25%	-1.85%	-19.50%	4.53%	11.62%	18.46%	-9.06%	-1.46%	11.79%	-17.62%	7.48%	7.56%	-20.11%	1.93%	14.81%	21.79%	1.25%	-1.21%
Volume		2675	3142	2499	1080	2801	2763	12.07k	15.37k	9423	7380	3477	3363	6419	5805	3716	2672	2128	1974	2998	2350	2635	1741

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The high-volume exit of a large trader can be a one-off event rather than a sustainable trend. Basing decisions on volume spikes alone increases the risk of mistiming entries and getting caught in reversals.

At best, waiting for the dust to settle after the flurry of activity allows a trader to evaluate whether any emerging trend has legs. At worst, it prevents getting run over by sharp contrary moves from temporary volume imbalances.

Here are some tips to avoid false perceptions of large orders when analyzing the footprint chart:

Look at full context - Don't assume one long wick or volume spike alone signals big order.

Compare relative volume - A wick may seem long but if overall volume is low it doesn't necessarily mean excessive order.

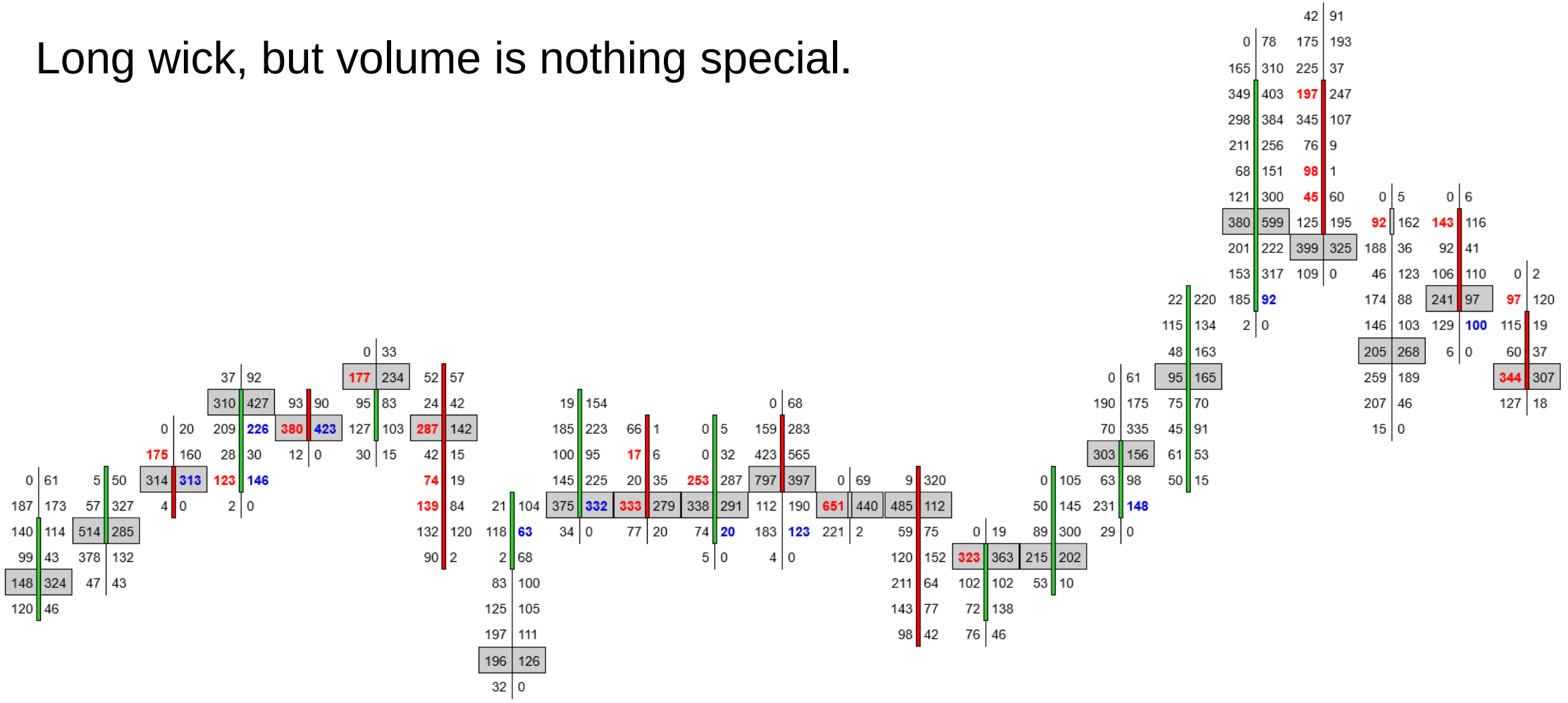
Volume at ask vs bid - Sweeps lift offers and clean out bids quickly with very little counter trade. So, watch volume traded on the bid and volume traded on the offer.

Absorption of orders - Volume transacting shows absorption. If wick prints but doesn't trade, more suspicion.

Order Flows Trader (ES 09-23 (1 Minute))
7/10/2023 12:13:00 - 7/10/2023 12:35:00

ORDERFLOWS.COM

Long wick, but volume is nothing special.



Delta	-164	0	212	28	39	-359	-97	171	-172	-35	-52	-361	-283	95	355	87	400	979	-571	-312	-247	-240
Max. Delta	270	86	241	61	84	32	5	180	0	21	430	0	126	172	355	184	401	1026	48	22	21	32
Min. Delta	-233	-31	-28	-107	-57	-389	-275	-93	-182	-120	-565	-418	-346	-27	-45	-128	-47	-14	-683	-482	-280	-253
Cum. Delta	7210	7210	7422	7450	7489	7130	7033	7204	7032	6997	6945	6584	6301	6396	6751	6838	7238	8217	7646	7334	7087	6847
Delta / Volume	-8.92%	0.00%	13.01%	2.81%	4.35%	-27.18%	-6.69%	9.06%	-20.14%	-2.68%	-1.57%	-26.10%	-14.39%	7.66%	30.37%	4.68%	28.13%	18.67%	-18.41%	-13.27%	-20.81%	-19.26%
Volume	1838	986	1630	998	897	1321	1451	1887	854	1305	3304	1383	1967	1241	1169	1859	1422	5245	3101	2352	1187	1246

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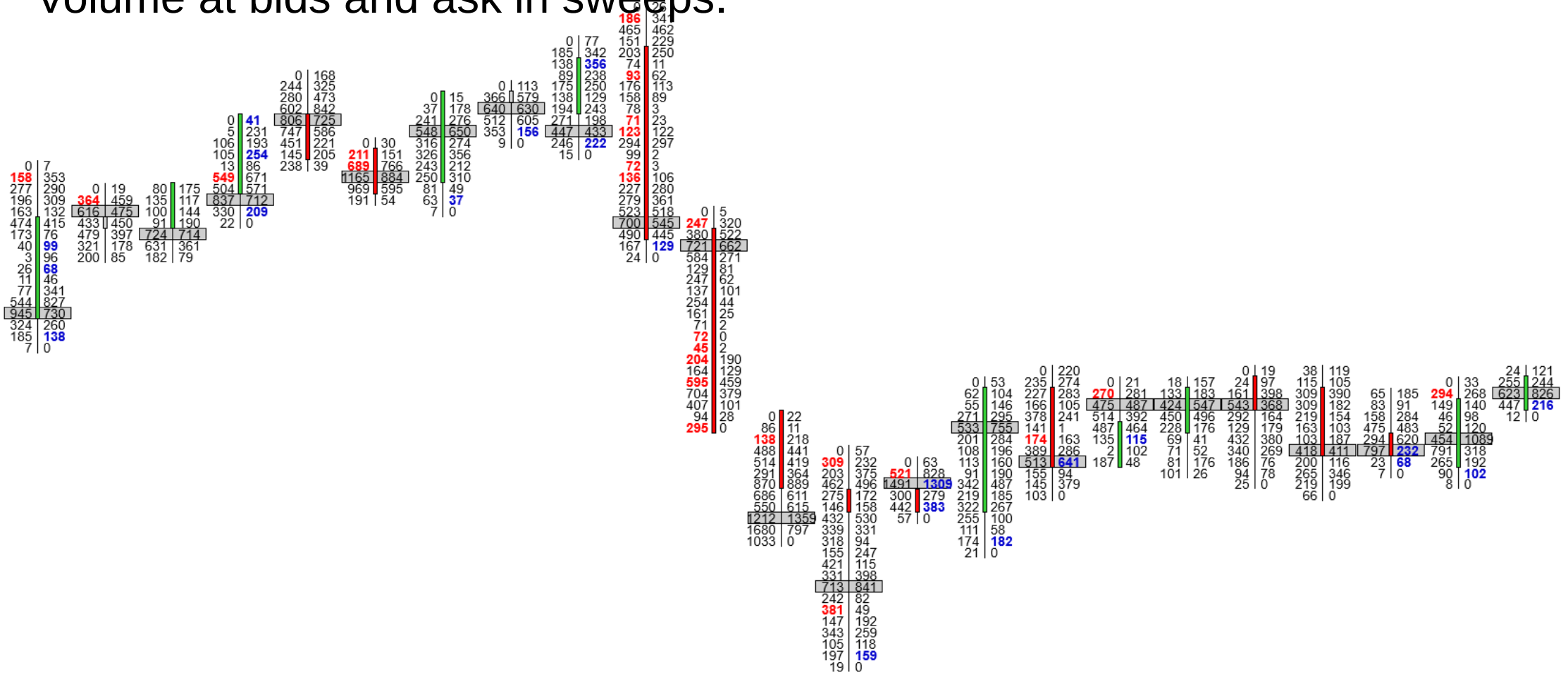
4443.00 4442.50 4442.00 4441.50 4441.00 4440.50 4440.00 4439.50 **4439.00** 4438.50 4438.00 4437.50 4437.00 4436.50 4436.00 4435.50 4435.00 4434.50

12:15 12:20 12:25 12:30 12:35

Order Flows Trader (ES 09-23 (1 Minute))
7/11/2023 08:32:00 - 7/11/2023 08:54:00

ORDERFLOWS.COM

Volume at bids and ask in sweeps.



Delta		-350	-163	497	71	-745	245	203	590	-372	-2128	-1802	-633	51	584	61	-160	279	-198	-112	61	211	46
Max. Delta		26	5	497	655	0	247	295	673	539	45	92	0	301	585	301	125	314	3	113	349	372	161
Min. Delta		-459	-332	-124	-72	-824	-80	0	-292	-707	-2128	-2209	-1779	-30	-325	-247	-230	-148	-488	-306	-353	-218	-11
Cum. Delta		4418	4255	4752	4823	4078	4323	4526	5116	4744	2616	814	181	232	816	877	717	996	798	686	747	958	1004
Delta / Volume		-7.82%	-4.38%	9.14%	1.00%	-13.06%	5.48%	5.12%	13.45%	-4.04%	-23.93%	-13.55%	-6.06%	0.90%	9.21%	1.15%	-4.02%	8.14%	-4.65%	-2.36%	1.58%	4.68%	1.66%
Volume		4476	3723	5439	7097	5705	4469	3963	4386	9206	8894	13.29k	10.44k	5673	6340	5313	3980	3429	4254	4736	3865	4509	2768

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4460.00 4459.00 4458.00 4457.00 4456.00 4455.00 4454.00 4453.00 4452.00 4451.00 4450.50 4450.00 4449.00 4448.00 4447.00 4446.00 4445.00 4444.00 4443.00 4442.00

08:35 08:40 08:45 08:50

Liquidity circumstances - Low liquidity markets make large orders appear bigger than reality.

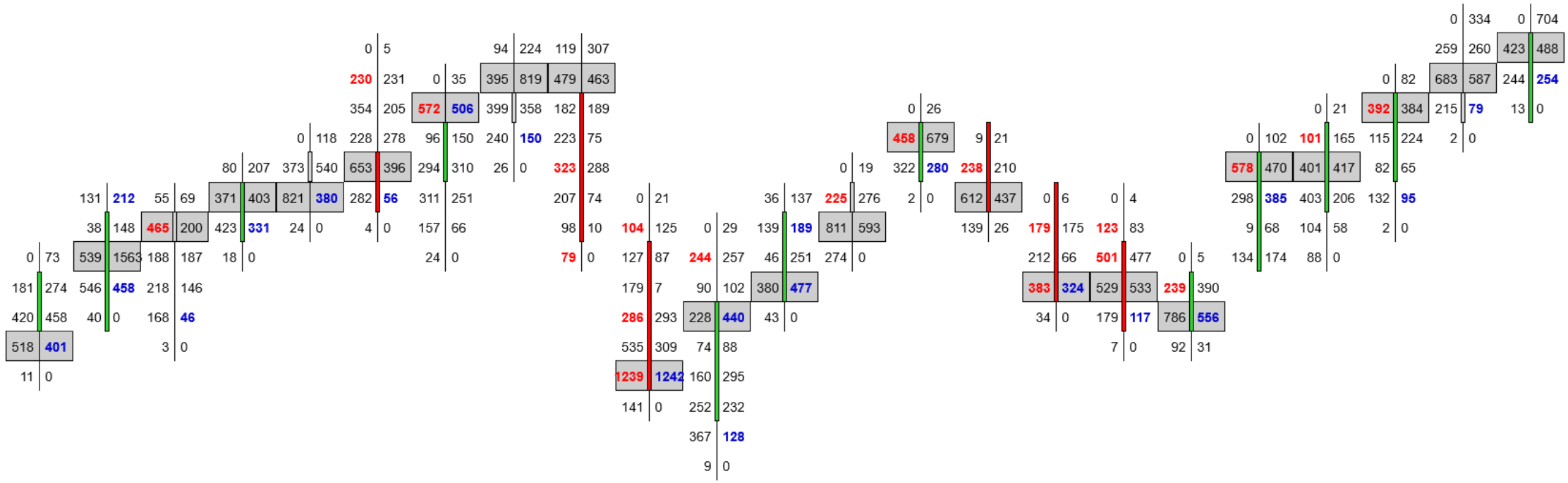
Context around wicks - Are other participants reacting or responding to supposed large orders?

Conditional orders - Wicks can form from stops rather than fresh orders. Know key risk levels.

Order Flows Trader (ES 09-23 (1 Minute))
7/6/2023 11:30:00 - 7/6/2023 11:52:00

ORDERFLOWS.COM

Low liquidity makes big orders (volume) look more important than it really is.



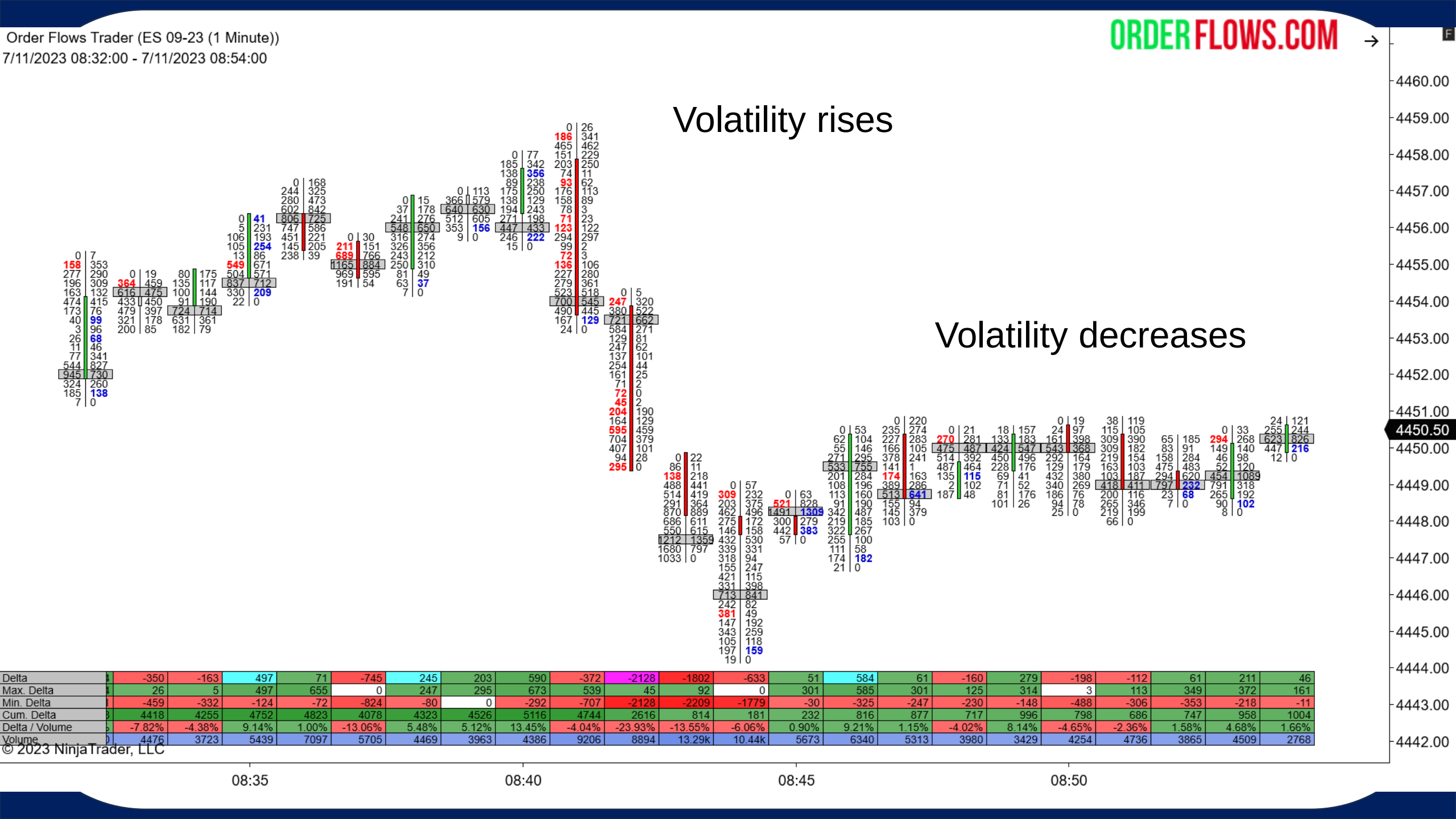
Delta	1087	-449	49	-180	-580	-136	397	-304	-527	147	410	-422	203	-304	-237	-125	-135	180	-230	127	101	766
Max. Delta	1252	1	205	102	104	109	616	219	76	292	439	97	314	0	58	54	6	290	30	164	424	786
Min. Delta	-16	-477	-17	-215	-580	-189	-92	-308	-822	-240	0	-490	0	-324	-269	-267	-291	0	-314	-91	-4	-3
Cum. Delta	-32.8k	-33.25k	-33.2k	-33.38k	-33.96k	-34.1k	-33.7k	-34.01k	-34.53k	-34.39k	-33.98k	-34.4k	-34.2k	-34.5k	-34.74k	-34.86k	-35k	-34.82k	-35.05k	-34.92k	-34.82k	-34.05k
Delta / Volume	29.58%	-25.73%	2.67%	-7.98%	-19.85%	-4.91%	14.68%	-9.76%	-11.22%	4.91%	24.15%	-19.20%	11.49%	-17.97%	-17.19%	-4.90%	-6.43%	8.12%	-11.71%	8.07%	4.18%	36.03%
Volume	3675	1745	1833	2256	2922	2772	2705	3116	4695	2995	1698	2198	1767	1692	1379	2553	2099	2218	1964	1573	2419	2126

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Volatility in the market is characterized by increased price ranges and higher trading volumes. When analyzing a five-minute candlestick chart, for example, one can identify periods of volatility by observing spikes in price range and volume. These spikes indicate a greater number of prices being traded, highlighting the presence of volatility. However, it is important to note that volatility does not necessarily imply a trend; it merely signifies increased trading activity.



Delta	-350	-163	497	71	-745	245	203	590	-372	-2128	-1802	-633	51	584	61	-160	279	-198	-112	61	211	46
Max. Delta	26	5	497	655	0	247	295	673	539	45	92	0	301	585	301	125	314	3	113	349	372	161
Min. Delta	-459	-332	-124	-72	-824	-80	0	-292	-707	-2128	-2209	-1779	-30	-325	-247	-230	-148	-488	-306	-353	-218	-11
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Delta / Volume	-7.82%	-4.38%	9.14%	1.00%	-13.06%	5.48%	5.12%	13.45%	-4.04%	-23.93%	-13.55%	-6.06%	0.90%	9.21%	1.15%	-4.02%	8.14%	-4.65%	-2.36%	1.58%	4.68%	1.66%
Volume	4476	3723	5439	7097	5705	4469	3963	4386	9206	8894	13.29k	10.44k	5673	6340	5313	3980	3429	4254	4736	3865	4509	2768

To further understand volatility, traders can examine the price locations associated with its occurrence. By observing price levels, it becomes evident that volatility can manifest at both lower and higher price points. Furthermore, it is essential to identify whether volatility is predominantly driven by sellers or buyers. While there may be some volatility stemming from buyers, it is often more prevalent on the sell side. This observation can provide valuable insights into the potential direction of price movement.

Order flow analysis and identifying institutional buying and selling are essential aspects of market analysis. Recognizing the activities of smart money can provide valuable insights into market trends and potential trading opportunities.

By carefully studying order flow patterns, volume, price action, we can improve our decision-making processes and potentially capitalize on the actions of “informed” traders.



This concludes Module 1.

In Module 2, I will discuss Enhancing Your Order Flow Trading Performance.